

Exercise 3: Double entry practice

H. George commenced business as a butcher on 1 October 20X9. Her transactions during October 20X9 are as follows (assume all cash transactions):

- 1 Oct - introduced cash of £5,000 to her business. ✓
- 1 Oct - Paid rent of shop: £200 ✓
- 2 Oct - Purchases of goods (for resale): £970 ✓
- 4 Oct - Bought fixtures and fittings: £1,250 ✓
- 6 Oct - Borrowed £3,500 from S. Ring ✓
- 9 Oct - Purchased delivery van: £2,650 ✓
- 12 Oct - Sold goods for £1,810 ✓
- 15 Oct - Paid wages of £150 ✓
- 18 Oct - Purchases: £630 ✓
- 19 Oct - Drawings: £350 ✓

Req. 1

Record the above transactions in double-entry accounts.

Req. 2

Record or post the above transactions in the (general) ledger using T-accounts.

Req. 3

Calculate the balance of cash left on 19 October and check the accounting equation.

$$\text{Total Assets} = \text{Cash} + \text{Fixtures \& fittings} + \text{Motor van} + \text{Inventory}$$

Req. 1.

Date			£	£
1 Oct.	Dr.	Cash	5,000	
	Cr.	Capital introduced		5,000
1 Oct.	Dr.	Rent	200	
	Cr.	Cash		200
2 Oct.	Dr.	Purchases	970	
	Cr.	Cash		970
4. Oct.	Dr.	Fixtures and fittings	1,250	
	Cr.	Cash		1,250
6. Oct.	Dr.	Cash	3,500	
	Cr.	Loan – S. Ring		3,500
9. Oct.	Dr.	Motor vehicles	2,650	
	Cr.	Cash		2,650
12. Oct.	Dr.	Cash	1,810	
	Cr.	Sales revenue		1,810
15. Oct.	Dr.	Wages	150	
	Cr.	Cash		150
18. Oct.	Dr.	Purchases	630	
	Cr.	Cash		630
19. Oct.	Dr.	Drawings	350	
	Cr.	Cash		350

Req. 2.

<i>Cash</i>					
20X9		£	20X9		£
1 Oct	Capital	5,000	1 Oct	Rent	200
6 Oct	S. Ring	3,500	2 Oct	Purchases	970
12 Oct	Sales revenue	1,810	4 Oct	Fixtures and fittings	1,250
			9 Oct	Motor vehicles	2,650
			15 Oct	Wages	150
			18 Oct	Purchases	630
			19 Oct	Drawings	350

<i>Capital introduced</i>			
	1 Oct	Cash	5,000

<i>Loan – S. Ring</i>			
	6 Oct	Cash	3,500

<i>Fixtures and Fittings</i>			
4 Oct	Cash	1,250	

<i>Motor Vehicles</i>			
9 Oct.	Cash	2,650	

<i>Sales revenue</i>			
	12 Oct	Cash	1,810

<i>Rent</i>			
1 Oct	Cash	200	

<i>Purchases</i>			
2 Oct	Cash	970	
18 Oct	Cash	630	

<i>Wages</i>			
15 Oct	Cash	150	

<i>Drawings</i>			
19 Oct	Cash	350	

3. The balance of Cash is £4,110

The Accounting equation:

Total Assets

= Cash+Fixtures & Fittings + Motor Vehicles

= 4,110+1,250+2,650= 8,010

Total Capital + Total Liabilities

=Capital-Drawings + Sales- Expenses (Rent &Rate, Purchase Wages)+Loan

=5,000-350+1,810-(200+1,600+150)+3,500=4,510+3,500=8,010

It is balanced.

Exercise 3: T-accounts and balancing of accounts

Sam Jones started his business from 1 January 2021. In November 2021, following transactions incurred:

- 1 November. Bought desks for £500 by cheque.
- 2 November. Paid wages of £2,000 by cheque.
- 3 November. Lodged sales of £25,000, received in cash.
- 4 November. Sold £5,000 goods on credit to R. Eagle.
- 5 November. R. Eagle returned £1,000 worth of goods.
- 6 November. R. Eagle paid £2,500 by bank transfer.
- 7 November. Bought a new bookcase for £500 by cheque.
- 8 November. Repaid £5,000 of the loan account by cheque.
- 9 November. Purchased goods from G. Crow for £12,000 on credit.
- 10 November. Returned goods to G. Crow worth £1,500; They were not fit for purpose.
- 11 November. Paid G. Crow £8,000 by bank transfer.
- 12 November. Bought a new car for £10,000. Got a bank loan to pay for this.
- 13 November. The bank charged £1,000 interest on the loan for the period.
- 14 November. The owner withdrew £500 cash from the bank for his own use.

Req. 1

Enter the above transactions that occurred during November 2021 in the given ledger accounts (T-account) and close off the T-accounts for Sam Jones.

Req. 2

From T-accounts in Requirement 1, extract a trial balance

Req. 3

Check the accounting equation on 30 November.

Req. 1**Office Equipment a/c**

Date	Details	£	Date	Details	£
Nov.1	Bal. b/d	20,000			
1	Bank	500			
7	Bank	500	Nov.30	Bal. c/d	21,000
		<u>21,000</u>			<u>21,000</u>
Dec.1	Bal. b/d	<u>21,000</u>			

Motor Vehicle a/c

Date	Details	£	Date	Details	£
Nov. 12	Loan	10,000	Nov.30	Bal. c/d	10,000
		<u>10,000</u>			<u>10,000</u>
Dec.1	Bal. b/d	<u>10,000</u>			

Trade Receivables a/c – R Eagle

Date	Details	£	Date	Details	£
Nov.1	Bal. b/d	2,000	Nov. 5	Returns Inwards	1,000
4	Sales	5,000	6	Bank	2,500
		<u>7,000</u>	30	Bal. c/d	3,500
Dec.1	Bal. b/d	<u>3,500</u>			<u>7,000</u>

Bank a/c

Date	Details	£	Date	Details	£
Nov.1	Bal. b/d	24,000	Nov. 1	Office Equipment	500
3	Sales	25,000	2	Wages	2,000
6	R. Eagle	2,500	7	Office Equipment	500
			8	Loan	5,000
			11	G. Crow	8,000
			13	Loan interest	1,000
			14	Drawings	500
			Nov.30	Bal. c/d	34,000
		<u>51,500</u>			<u>51,500</u>
Dec.1	Bal. b/d	<u>34,000</u>			

Drawings a/c

Date	Details	£	Date	Details	£
Nov. 14	Bank	500	Nov.30	Capital	500
		<u>500</u>			<u>500</u>

Loan a/c

Date	Details	£	Date	Details	£
Nov. 8	Bank	5,000	Nov.1	Bal. b/d	20,000
			12	Motor Vehicle	10,000
Nov.30	Bal. c/d	25,000			<u>30,000</u>
		<u>30,000</u>	Dec.1	Bal. b/d	<u>25,000</u>

Trade Payables a/c- G. Crow

Date	Details	£	Date	Details	£
Nov. 10	Returns Out a/c	1,500	Nov.1	Bal. b/d	1,000
11	Bank	8,000	9	Purchases	12,000
Nov.30	Bal. c/d	3,500			
		<u>13,000</u>			<u>13,000</u>
			Dec.1	Bal. b/d	3,500
					<u>3,500</u>

Sales revenue a/c

Date	Details	£	Date	Details	£
			Nov. 3	Bank	25,000
			4	R. Eagle	5,000
Nov.30	F/P	30,000			
		<u>30,000</u>			<u>30,000</u>

Purchases a/c

Date	Details	£	Date	Details	£
Nov. 9	G. Crow	12,000			
			Nov.30	F/P	12,000
		<u>12,000</u>			<u>12,000</u>

Returns Inwards a/c

Date	Details	£	Date	Details	£
Nov. 5	R. Eagle	1,000			
			Nov.30	F/P	1,000
		<u>1,000</u>			<u>1,000</u>

Returns Out a/c

Date	Details	£	Date	Details	£
Nov.30	F/P	1,500	Nov. 10	G. Crow	1,500
		<u>1,500</u>			<u>1,500</u>

Wages and salaries a/c

Date	Details	£	Date	Details	£
2	Bank	2,000	Nov.30	F/P	2,000
		<u>2,000</u>			<u>2,000</u>

Loan Interest a/c

Date	Details	£	Date	Details	£
13	Loan	1,000	Nov.30	F/P	1,000
		<u>1,000</u>			<u>1,000</u>

Statement of Profit or Loss a/c

Date	Details	£	Date	Details	£
Nov.30	Purchase	12,000	Nov.30	Sales revenue	30,000
Nov.30	Return Inwards	1,000	Nov.30	Return Outwards	1,500
Nov.30	Wages and salaries	2,000			
Nov.30	Loan interest	1,000			
Nov. 30	Capital	15,500			
		<u>31,500</u>			<u>31,500</u>

Capital a/c

Date	Details	£	Date	Details	£
			Nov.1	Bal. b/d	25,000
			Nov.30	Profit from F/P	15,500
Nov. 30	Drawings	500			
Nov.30	Bal. c/d	40,000			
		<u>40,500</u>			<u>40,500</u>
			Dec.1	Bal. b/d	40,000

Req. 2.

Trial balance as at 30 November 2021

	Debit (£)	Credit (£)
Office Equipment	21,000	
Motor Vehicles	10,000	
Trade receivables – R Eagle	3,500	
Bank	34,000	
Capital (Opening bal.)		25,000
Drawings	500	

Loan		25,000
Trade payables – G Crow		3,500
Sales revenue		30,000
Purchases	12,000	
Returns Inwards	1,000	
Returns outwards		1,500
Wages and salaries	2,000	
Loan interest	1,000	
Total	85,000	85,000

Req. 3.

Total Assets= Office Equipment (21,000)+ Motor Vehicle (10,000)+ Trade Receivables (3,500)+Bank (34,000)=68,500

]Total Capital=OC(25,000)-Drawing(500)+[Revenue(30,000)-Return Inward(1000)]-[Purchase (12,000) - Return Outward(1,500)]-Wages(2,000)-Loan interest(1000)=40,000

Total Liability=Loan (25,000) + Trade Payables (3,500) =28,500

Total Capital and Liability=68,500

The accounting equation is in balance.

Exercise 3 (Adapted from Exercise 13.9, textbook p.235)

The following is a trial balance of A. Evans as at 30 June 20X9 *before adjustment:*

	Debit £	Credit £
Capital	15,776	39,980
Drawings		35,000
Loan – Suzhou Bank (Long-term)	52,500	
Building	13,650	
Motor vehicles (lorry)	4,980	
Machine		996
Accumulated depreciation – machine (b/d)	18,000	
Plant		3,000
Accumulated depreciation – plant (b/d)	2,630	
Trade receivables		1,910
Trade payables	460	
Cash		3,620
Bank overdraft		81,640
Sales revenue		
Purchases	49,870	
Inventory	5,610	
Rent and rates	1,420	
Light and heat	710	
Telephone and postage	540	
	<u>166,146</u>	<u>166,146</u>

Additional Information

- Inventory at 30 June 20X9 has been valued at £4,920
- The business uses one *固定资产* Property, plant and Equipment (PP&E) account to group all non-current assets for reporting purposes. Depreciation adjustment is only prepared at the year-end and, therefore, has not yet been included in the above trial balance. Motor vehicles, machine and plants are all used to manufacture the goods sold, therefore, their depreciation expense was grouped to the cost of sale. While a new building was purchased this year to provide offices for managers, HR, and accountants, so its depreciation was included in the Administration expense account. A full year's depreciation was charged in the year of purchase.
 - Motor vehicle (lorry) was purchased at £13,650 during the period. Its useful life was estimated at five years with a residual value of £1,000. The business depreciates it using the straight-line method.
 - Machine is depreciated at 20 per cent on the *直线法* straight line method.
 - Plant is used in manufacturing the goods sold and it is depreciated at 10 per cent on the *余额递减法* reducing balance method.

d. Building was purchased this year at £52,500 with a useful life of 3 years and estimated residual value of £12,500. Its depreciation is calculated using the sum of the years' digit method.

年数总和法

Required.

1. Prepare the double-entry for the adjustment of depreciation.
2. Prepare a statement of profit or loss for the year ended 30 June 20X9 and a statement of financial position at that date using the following format.

Statement of profit or loss for the year ended 30 June 20X9	
	£
Sales revenue	81640

Statement of profit or loss for the year ended 30 June 20X9

	£	£
Sales revenue		81,640
<i>Less: Cost of sales</i>		
Inventory at 1 July 20X8	5,610	
Add: purchases	49,870	
<i>Less: inventory at 30 June 20X9</i>	4,920	
<i>Add: Depreciation (working1)</i>	<u>5,026</u>	
		<u>55,586</u>
Gross profit		26,054
<i>Less: Expenditure</i>		
Administration expenses (working1)	20,000	
Rent and rates	1,420	
Light and heat	710	
Telephone and postage	<u>540</u>	<u>22,670</u>
Profit for the year		<u>3,384</u>

Working 1 - Depreciation on PPE

	Cost of sale	Adm. Exp.
1 Lorry $[(13,600-1,000)/5]$	2,530	
2 Machine $(=4980 \times 0.2)$	996	
3 Plant $[(18,000-3,000) \times 0.1]$	1,500	
4 Building $[(52,500-12,500) \times (3/6)]$		20,000
	<u>5,026</u>	<u>20,000</u>

A. Evans
Statement of financial position as at 30 June 20X9

ASSETS	£
Non-current assets	
Property, plant and Equipment (NBV) (working 2)	<u>60,108</u>
<i>Total non-current assets</i>	<u>60,108</u>
Current assets	
Inventory	4,920
Trade receivables	2,630
Cash	<u>460</u>
<i>Total current assets</i>	<u>8,010</u>
Total assets	<u>68,118</u>
 EQUITY AND LIABILITIES	
Equity capital	
Balance at 1 July 20X8	39,980
<i>Add: profit for the year</i>	3,384
<i>Less: drawings</i>	<u>15,776</u>
Balance at 30 June 20X9	<u>27,588</u>
 Non-current liabilities	
Loan – Suzhou Bank (Long-term)	<u>35,000</u>
<i>Total non-current liabilities</i>	<u>35,000</u>
Current liabilities	
Trade payables	1,910
Bank overdraft	<u>3,620</u>
<i>Total current liabilities</i>	<u>5,530</u>
<i>Total liabilities</i>	<u>40,530</u>
Total equity and liabilities	<u>68,118</u>

Working 2 - NBV of PPE

	Cost	Provision for depreciation.	NBV
1 Lorry	13,650	2,530	11,120
2 Machine	4,980	(996+996) 1,992	2,988
3 Plant	18,000	(3,000+1,500) 4,500	13,500
4 Building	52500	20,000	32,500
		Total	<u>60,108</u>

Exercise 3 (* adapted from Exercise 18.15, p.327).

The following is the trial balance of C. Jones as at 31 December 20X9:

	<i>Debit</i>	<i>Credit</i>
	£	£
Owner's capital		45,214
Drawings	9,502	
Purchases	389,072	
Sales revenue		527,350
Wages and salaries	33,440	
Rent and rates	9,860	
Light and heat	4,142	
Credit loss expenses	1,884	
Allowance for credit losses		3,702
Trade receivables	72,300	
Trade payables		34,308
Cash at bank	2,816	
Cash in hand	334	
Inventories	82,124	
Motor car – Cost	7,200	
– Accumulated depreciation		2,100
	<u>612,674</u>	<u>612,674</u>

Additional information

1. Inventories at 31 December 20X9 are valued at £99,356.
2. The rent of the premises is £6,400 per annum, paid six months in advance on 31 March and 30 September.
3. Rates for the year ending 31 March 20Y0 amounting to £1,488 were paid on 1 April 20X9.
4. Wages and salaries to be accrued amount to £3,012.
5. Depreciation on the car is to be provided using the straight-line method at a rate of 20 per cent per annum.
6. It has been agreed that further receivables amounting to £1,420 are to be written off against specific customers, and the closing allowance is to be adjusted to 5 per cent of the revised trade receivables figure.

Required

Prepare the statement of profit or loss for the year ended 31 December 20X9, and a statement of financial position at that date.

Exercise 3:

* Note. The double entries for the adjustments are Not required, but very useful for this type of question.

** Double-entries for COS (i.e., Inventory (b/d), (c/d) & purchase) are omitted.

No.				
1	Dr.	Prepayment (rent)	1,600	
	Cr.	Rent and rates		1,600
2	Dr.	Prepayment (rates)	372	
	Cr.	Rent and rates		372
3	Dr.	Wages and salaries	3,012	
	Cr.	Accruals		3,012
4	Dr.	Depreciation expense - Motor car	1,440	
	Cr.	Accumulated Depreciation		1,440
5	Dr.	Credit loss expense	1,420	
	Cr.	Trade receivables		1,420
	Dr.	Allowance for credit loss	158	
	Cr.	Statement of financial performance		158

C. Jones	
Statement of profit or loss for the year ended 31 December 20X9	
	£
Sales revenue	527,350
<i>Less: cost of sales (working 1)</i>	<u>371,840</u>
Gross profit	155,510
<i>Add: decrease in allowance for credit loss</i>	158
<i>Less: Expenditure</i>	
Wages and salaries	36,452
Rent and rates	7,888
Light and heat	4,142
Credit loss expense	3,304
Depreciation	<u>1,440</u>
Profit for the year	<u>102,442</u>

Working 1 – Cost of sales	
Inventory at 1 Jan 20X9	82,124
Add: purchases	389,072
Less: inventory at 31 Dec 20X9	<u>99,356</u>
Total	<u>371,840</u>

C. Jones Statement of financial position as at 31 December 20X9	
ASSETS	£
Non-current assets	
Motor car (NBV) (Working 2)	3,660
Current assets	
Inventory	99,356
Trade receivables (Working 3)	67,336
Prepayments	1,972
Bank	2,816
Cash	<u>334</u>
Total current assets	<u>171,814</u>
Total assets	<u>175,474</u>
EQUITY AND LIABILITIES	Equity capital
Balance at 1 Jan 20X9	45,214
Add: profit for the year	<u>102,442</u>
	147,656
Less: drawings	<u>9,502</u>
Balance at 31 Dec 20X9	<u>138,154</u>
Current liabilities	
Trade payables	34,308
Accruals	<u>3,012</u>
Total liabilities	<u>37,320</u>
Total equity and liabilities	<u>175,474</u>

Working 2 - NBV of PPE			
	Cost	Acc. Dep.	NBV
Motor car	7,200	3,540	3,660

Working 3- Trade receivable	
Trade receivable (gross)	70,880
Allowance for credit loss	3,544
Trade receivable (NRV)	<u>67,336</u>

Exercise 3 (* adapted from Exercise 27.17, p.563).

The trial balance of Norr Ltd at 31 December 20X9 is as follows:

	<i>Debit</i>	<i>Credit</i>
	£	£
		50,000
Equity shares of £1 – fully paid	220,000	
Purchases		20,900
Retained earnings	80,000	
Property – cost	15,000	
Machine – cost		9,000
Machine – accumulated depreciation	3,000	
Rates	20,000	
Motor vehicles – cost		9,200
Motor vehicles – accumulated depreciation	40,000	
Inventories	30,000	
Trade receivables		24,000
Trade payables		310,000
Sales revenue	12,100	
Bank		40,000
12% debentures	2,400	
Debenture interest	34,000	
Wages and salaries	4,100	
Heat and light	1,200	
General expenses	2,000	
Motor expenses		1,000
Allowance for credit losses		
Credit loss expense		
	300	
	<u>464,100</u>	<u>464,100</u>

Additional information

1. Depreciation has not yet been provided for the year. The following rates are applied on the straight-line basis, with the assumption of no residual value:

Machine	10 per cent	charged to Cost of sale
Motor vehicles	20 per cent	charged to operating expenses

2. Inventory at 31 December 20X9 amounted to £45,000.
3. Rates paid in advance amount to £400. An electricity bill (Heat & light expense) covering the quarter to 31 December 20X9 and amounting to £320 was not received until February 20Y0. An accrual also needs to be made in relation to debenture interest.
4. A general allowance for irrecoverable receivables of 4 per cent of trade receivables is to be carried forward.
5. There is a revaluation surplus of £1,000 on the revaluation of the company's freehold – property during the year.

Required

Prepare a statement of financial performance and statement of financial position on the basis of the above information. Use the following answer template.

Exercise 3

** The following double-entries are NOT required, but provided for your understanding.*

Note..			£	£
1	Dr.	Dep. – Machine (COS)	1,500	
	Cr.	Acc. Dep. - Machine		1,500
	Dr.	Dep. - Motor vehicle	4,000	
	Cr.	Acc. Dep. - Motor vehicle		4,000
3	Dr.	Prepayment	400	
	Cr.	Rates		400
	Dr.	Heat & light (electricity)	320	
	Cr.	Accrued expenses		320
	Dr.	Finance cost	2,400	
	Cr.	Accrued expenses		2,400
4	Dr.	Statement of financial performance	200	
	Cr.	Allowance for credit losses		200
5	Dr.	Property	1,000	
	Cr.	Revaluation reserve		1,000

Norr Ltd
Statement of Financial Performance

	£
Sales revenue	310,000
Cost of sales (Working 1)	(216,500)
Gross profit	93,500
Expenses:	
Wages & salaries	34,000
Rates	2,600
Heat & light	4,420
General expenses	1,200
Allowance for credit losses (increase)	200
Credit loss expenses	300
Motor expenses	2,000
Depreciation on vehicles	4,000
Finance costs Debenture interest (12% x 40,000)	4,800
Profit for the year	39,980
Other comprehensive income	
Gain on Property Revaluation	1,000
Total comprehensive income	40,980

$$\begin{aligned} &= 3,000 - 400 \\ &= 4,100 + 320 \\ &= 30,000 \times 4\% - 1,000 = 200 \\ &= 20,000 \times 20\% \\ &= 2,400 + 2,400 \text{ (accrued)} \end{aligned}$$

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Examiner's use only
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Working 1	
Cost of sales	£
Inventory at 1 Jan 20X9 (b/d)	40,000
Purchase	220,000
Inventory at 31 Dec 20X9 (c/d)	(45,000)
Depreciation charge (Machine)	1,500
Total	<u>216,500</u>

$$= 15,000 \times 10\%$$

**Norr Ltd. Statement of Financial Position
as at 31 December 20X9**

	£
Assets	
Non-current assets	
Property, plant and Equipment (Working 2)	92,300
Current assets	
Inventory	45,000
Prepayment	400
Trade receivable (Working 3)	28,800
Bank	12,100
Total assets	178,600
Equity and liabilities	
Equity share	50,000
Revaluation reserve	1,000
Retained earnings/profits	60,880
Non-current liabilities	
12% Debenture	40,000
Current liabilities	
Accrued expenses	2,720
Trade payables	24,000
Total liabilities	66,720
Total equity and liabilities	178,600

Examiner's use only
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Working 2 - Note on property, plant and equipment			
	at cost	Accu. Depre.	NBV
Machine	15,000	10,500	4,500
Motor vehicle	20,000	13,200	6,800
	at cost	Revaluation reserve	at revaluation
Property	80,000	1,000	81,000
Total			92,300

Working 3 - Note on trade receivables		£
Trade receivables		30,000
Allowance for credit losses	*1,000+200	1,200
Total		28,800

Examiner's use only
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